

bond allocation of 20 to 65 percent. He also found that intermediate-term US government bonds provided a sweet spot in terms of return/volatility trade-offs, keeping worst-case historical spending rates at the highest possible level.

The second and third methods take a more nuanced approach to incorporating bonds. In the second, a bond fund (a mutual fund or an ETF) can be chosen specifically so that its “duration” matches the duration of the retirement liability. I will explain this in greater detail later. The third route involves holding individual bonds to maturity to provide the desired income to fund annual expenses on an ongoing basis throughout retirement. In this method, maturing bonds and bond coupon payments provide a steady and known stream of contractually guaranteed income to meet planned expenditures.

Scholars and practitioners have numerous disagreements about the best way to incorporate bonds into a real-world retirement income plan. We will be delving into these controversies as well.

The discussion builds toward an eventual consideration of time segmentation—a hybrid strategy that invests differently for short-term and long-term expenses rather than use a total-return approach. Time segmentation is often described as a way to help manage sequence-of-returns risk, though this point is controversial. Though a myriad of strategies can be devised that would fall under the umbrella of time segmentation, the easiest way to approach this topic is to include a rolling retirement income bond ladder as a tool for income planning. Sequence risk may be mitigated by holding individual bonds to maturity. A retirement income bond ladder may be constructed to cover early retirement expenses, with a more aggressive portfolio of assets earmarked for longer-term expenses, in order to reduce the risk of selling assets at a loss.